

The Patience Behind Value Investing

A value investor's job is to estimate what a business is worth and buy when the market is asking for less.

Value investing is based on a simple idea: the price of a stock and the worth of the business behind it are not always the same thing. The price of a stock is the outcome of thousands of decisions made by people with different time horizons, levels of information and, quite often, different emotions. The worth of the business depends instead on what it earns, what it owns and how much cash it can generate over the years ahead. A value investor's job is to estimate that worth and buy when the market is asking for less.

The tools used for this estimate are not complicated. Earnings tell you what the business makes today. Book value tells you what it has accumulated. Cash flow potential tells you what it can produce in the future. These numbers give investors a range, and when the market price sits well below that range, the gap is worth examining.

A low price is not by itself a reason to buy. Some companies are cheap because the market has temporarily lost interest in them. Others are cheap because the business is deteriorating and the market has worked this out before you have. Telling the two apart is the harder part of the job, and three questions do most of the work. Is the company financially strong enough to survive a difficult stretch? Is the business durable? And does the management behave in a way that protects all shareholders, not just the largest ones? A company that fails any of these tests is usually cheap for a good reason.

Value investing also needs flexibility about where the search happens. Mispricing does not confine itself to one part of the market. It can show up in a large company as easily as in a mid-sized or small one, and an investor who fixes the search to a



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single size band will miss what appears elsewhere. The same applies to sectors. Rather than deciding in advance how much to hold in each industry, a value approach lets the sector mix follow from the stocks that clear the valuation test. The result is a portfolio that is meaningfully different from the index, which is the reason to hold an actively managed strategy.

Value investing does not perform evenly across market phases. In a rising market driven by enthusiasm, expensive stocks tend to keep getting more expensive, and a value-oriented portfolio may lag. Investors who cannot sit through those stretches usually leave at the wrong moment, when the discount they were waiting for is at its widest. The gains may come in the periods that follow, as expectations reset and the gap between price and worth closes.

There is also a discipline to what a value investor does when nothing looks cheap. In markets where valuations have run ahead of fundamentals, the honest response is often to hold more cash and wait rather than to force money into ideas that do not meet the standard. Waiting may seem unproductive, but it preserves the ability to act when prices do fall.

Value investing works through the unlocking of a gap between price and worth, and that unlocking happens over full market cycles rather than a few quarters. Global growth and inflation trends, along with geopolitical developments, will keep markets volatile, and short stretches of weak returns are a feature of equity investing, rather than an exception. Judged over a long enough period, the approach asks for patience more than it asks for skill.